

ments. Another global accelerator, 500 Startups, rebranded itself as 500 Global recently to focus on its early- and later-stage investments. Both 500 Global and Techstars run programmes in India while YC picks Indian start-ups for its Silicon Valley-based programmes.

Integrated incubator Venture Catalysts runs a \$150-million accelerator fund, a \$200-million fintech-focussed fund, and a \$200-million growth-stage fund besides an angel fund and a proptech (tech used in the real estate space) fund.

IA too has pivoted to a fund-led model. Today, it operates two active VC funds of ₹350 crore each, and has partially exited from a third of its investments (about 40 exits from 150 investments) to generate cash flow for its programmes.

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IN MOST CASES, start-ups complete generalist programmes without accruing any significant learning or support. Prasanna Krishnamoorthy, Managing Partner at SaaS accelerator Upekkha, says sector-agnostic programmes lack the critical component of a domain-specific founder community. He adds that when accelerators work with all kinds of start-ups, founders fail to garner support and feedback in their core domains. “They can help each other on co-

founder conflicts, investor relationships or HR issues. But from a domain perspective, they can’t help each other,” he says.

Krishnamoorthy, with close to a decade of experience in building and operating accelerators, says Upekkha decided to build an accelerator first to prove its mettle and then get to a fund model. Launched in 2017, Upekkha initially worked on a revenue-share model, and then raised \$9 million from WestBridge Capital in 2022. Although the cost of running a start-up has come down, he says, founders still need some funds to operate. But from an accelerator’s perspective, if they can offer capital, it gets easier for founders to choose their programmes, he adds.

IA—that ran domain-agnostic programmes in its initial two years—pivoted to a domain-focussed model in 2019, and currently runs domain-specific programmes for nine verticals such as cybersecurity, fintech, health-tech, social impact, agri-tech, deep-tech, etc.

Meanwhile, corporate accelerators continue to attract start-ups due to their ability to offer unique tech capabilities, add value, and provide better business opportunities. Their sector-focussed niche programmes help start-ups navigate the ecosystem better and prepare them to position better.

For accelerators, a good mentor pool is vital to attract the best start-ups. Accelerators with a good track record of exits and follow-on funding get the best mentors, who are compensated through equity



“The number of start-ups that applied for the first cohort gave us the belief that this [accelerator programme] is a required solution for a real problem”

Ashish Bhatia
FOUNDER & CEO, INDIA
ACCELERATOR



“[Founders in sector-agnostic accelerators] can help each other on co-founder conflicts, etc.... But from a domain perspective, they can’t help each other”

Prasanna Krishnamoorthy
MANAGING PARTNER,
UPEKKHA